year, 2019, reaching the point of technical recession. However, since the country began to unlock in June, several economic indicators began to show encouraging growth markers in merchandize exports, GST collections, digital transactions value, automobile sales and such. By September, data across multiple sectors was suggestive of noticeable recovery. Observing signs of improvement, the government increased its expenditure more specifically in capital spending. Comparing it with capital spending in October 2019 which was ₹137.6 billion, the government almost doubled its expenditure by spending about ₹315.2 billion. Nearly half of its capital expenditure went towards transport infrastructure building activities. The Ministry of Railways scaled up its capital expenditure to a whopping ₹81.8 billion, 176.3 per cent higher than the spend in October 2019. The Ministry of Road Transport and Highways had been scaling up its expenditure ever since July 2020 when the economy reopened. It spent a massive ₹70.4 billion in October 2020 as compared with just ₹670 million in the same month last year. During the first half of financial year 2020–21, it awarded ₹472.9 billion worth of projects to construct over 1,330 km of road length which was 60 per cent higher than the same time last year. Likewise, the Ministry of Housing and Urban Affairs spent about ₹20.3 billion as against a low ₹987 million last year in October. Transfers to states and UTs by the Centre for capital expenditure increased to ₹63.6 billion as opposed to a 10 times lower monthly transfer of ₹6.4 million in FY 2019–20.[5]

We should also note that the government spending on its flagship MNREGA increased by a robust 75.9 per cent to ₹105.1 billion in comparison to October last year. Back in June, the prime minister had suggested to officials across departments that,

> We must focus on boosting employment and livelihood opportunities for the migrants who have returned back to their respective states. Government expenditure should be planned to build durable rural infrastructure and providing modern facilities like internet connectivity in villages. I urge you to carry out skill-mapping exercise in each district in order to tailor government assistance. Through the Garib Kalyan Rojgar Abhiyaan, [the] government will very much assist the above exercise by implementing about fifty thousand crores worth of projects within a